# Licence and Ownership

D & S Electric Works. Position on section 5 of your enquiry.

> **Status: NEGOTIATION DRAFT. Not approved.** The principle in section 1 is the company's position. The clauses in section 3 are not settled and need the company's decision and counsel's review. Nothing here is a contract until signed.

## 1. The position

- **Verity is our proprietary software and we own it.** That includes everything configured or developed for DSEW. Customisation for DSEW becomes part of Verity.
- **DSEW receives a perpetual, non-exclusive, non-transferable licence** to use Verity for its own business, at one site, for up to 15 named users, for the one-time fee. No annual or per-user licence fee applies to that scope.
- **DSEW owns its business data**, including everything it enters or uploads, and can take a documented export (records as CSV, files in original form with an index) at handover and once more on request during the 12-month testing period.
- **Source code is not delivered.** Your enquiry asked for it; we are telling you plainly that this offer does not include it.
- We do not use DSEW's confidential drawings, prices, specifications or quality formats for anyone else, under a mutual NDA.
- Platform components we use are open source (for example PostgreSQL, Keycloak, Next.js) under their own licences, listed in a licence inventory at handover.

## 2. Your nine questions

| # | Question | Answer |
|---|---|---|
| 1 | Complete source code delivered? | No. Verity is proprietary |
| 2 | Does DSEW own the custom code and IP? | No. We own Verity and the configuration. DSEW owns its data |
| 3 | Can DSEW or another developer modify the code? | Not the code. DSEW can configure what the product allows, and request changes from us |
| 4 | Can it run without dependence on you? | It runs on DSEW's server day to day. Updates and changes to the product come from us. Runbooks for install, backup, restore and upgrade are provided |
| 5 | Proprietary frameworks, paid components, recurring licences? | Verity is licensed as above. No paid third-party components or recurring licence fees in Phase 1 |
| 6 | Schema, API docs, deployment scripts, technical documents? | Deployment runbooks, administrator and user guides and API notes for what Phase 1 uses. Source code and internal design documents are not included |
| 7 | Repository access from the beginning? | No |

| # | Question | Answer |
|---|---|---|
| 8 | Credentials, deployment instructions, backup procedures? | Yes, through a signed handover checklist, with credentials rotated at handover |
| 9 | Use limited to DSEW; no resale? | Yes. DSEW may not resell, sublicense or share Verity. We will not resell or disclose DSEW's confidential material |

## 3. Open points for the company and counsel

None of these is decided. No fee is included for any of them.

| # | Open point |
|---|---|
| 1 | What DSEW can rely on if the company stops supporting Verity (continuity or escrow arrangement, if any) |
| 2 | Licence term wording, termination, and what happens to DSEW's right to use on termination |
| 3 | Whether the licence may extend to affiliates, additional sites or more users, and on what terms |
| 4 | Liability, warranty and indemnity clauses |
| 5 | Governing law and dispute resolution |

**This document is not ready for signature.** DSEW's enquiry placed weight on source-code ownership and independence; the company's position above differs from that request, and DSEW should expect to negotiate it.